
Question #1 of 120

Question ID: 1207263

Questions 1 through 18 relate to Ethical and Professional Standards. (27 minutes)

Which of the following statements about the CFA Institute's Professional Conduct Program (PCP) is *least accurate*?

- A) Possible sanctions include condemnation by a member's peers or suspension of a candidate's participation in the CFA Program.
- B) If the PCP staff determine that a sanction against a member is warranted, the member must either accept the sanction or lose the right to use the CFA designation.
- C) Members who cooperate with a PCP inquiry by providing confidential client information to PCP staff are not in violation of Standard III(E) Preservation of Confidentiality.

Question #2 of 120

Question ID: 1207264

Robert Miguel, CFA, is a portfolio manager. On Saturday, one of his clients invited Miguel and his wife to be his guests at his luxury suite for a major league baseball playoff game, which they did. Miguel told his supervisor on Monday that they had attended the game with the client and that the suite was luxurious. Miguel has:

- A) not violated the Standards.
- B) violated the Standards because disclosure must be in writing.
- C) violated the Standards because he must disclose the gift prior to accepting.

Question #3 of 120

Question ID: 1207272

At his golf club on Saturday morning, Paul Corwin, CFA, sees Frank Roberts, a friend and institutional client of his, who tells him that he is planning to sell his house on the 7th fairway. While golfing that day, Corwin tells Robert Lowe, a realtor, that Roberts is planning to sell his house and may need a realtor. He also tells Lowe that he manages an equities account for Roberts. If Corwin has not received permission from Roberts, he has violated the Standard on preservation of confidentiality:

- A) both by disclosing Roberts' plan to sell his home and that he is a client.
 - B) by disclosing Roberts' plan to sell his home but not by mentioning that he was a client.
 - C) by disclosing that Roberts is a client of his but not by mentioning Roberts' plan to sell his home.
-

Question #4 of 120

Question ID: 1207266

Doug Watson, CFA, serves in a sales position at Sommerset Brokerage, a registered investment adviser. Watson frequently drinks excessively. On one occasion, Watson was cited by local police for misdemeanor public intoxication. According to the Standard on knowledge of the law and the Standard on misconduct, Watson is in violation of:

- A) both of these Standards.
 - B) neither of these Standards.
 - C) only one of these Standards.
-

Question #5 of 120

Question ID: 1207280

Reliable Wealth Managers wants to present a GIPS-compliant performance presentation and reference its GIPS compliance in marketing materials. Reliable is *least likely* required to:

- A) claim compliance with GIPS only if it has a compliant performance history of at least five years.
 - B) apply GIPS compliance firmwide and not only to the specific asset classes mentioned in the marketing materials.
 - C) include each discretionary fee-paying account in a composite based on its investment objectives and/or strategies.
-

Question #6 of 120

Question ID: 1207265

Peter Taylor, a CFA charterholder and a food industry analyst for a large investment firm, has been invited by Sweet Pineapple Co. to visit the firm's processing plants in Hawaii. The Standard concerning independence and objectivity recommends that Taylor:

- A) use and pay for commercial transportation, if available.
 - B) obtain written permission from his employer before he accepts this invitation.
 - C) decline this invitation if he issues recommendations on the firm's securities.
-

Question #7 of 120

Question ID: 1207278

Ruth Brett, a Level I CFA candidate, feels nervous and unprepared the night before the exam. Brett writes a few key notes on the bottom of her shoe. At the exam, Brett sees the large number of proctors present and decides not to risk getting caught and does not look at her shoe. According to the CFA Institute Code of Ethics and Standards of Professional Conduct, Brett is:

- A) not in violation of any Standard or the Code of Ethics because she did not use the notes.
- B) in violation of the Code of Ethics for bringing the notes into the examination room but is not in violation of any Standard because she did not use the notes.
- C) in violation of both the Code of Ethics and the Standard governing conduct as participants in CFA Institute programs for taking the notes into the examination room.

Question #8 of 120

Question ID: 1207267

Which of the following is *least likely* included in the CFA Code of Ethics? Members of CFA Institute must:

- A) place their clients' interests before their employer's interests.
 - B) strive to maintain and improve the competence of others in the profession.
 - C) use reasonable care and exercise independent professional judgment.
-

Question #9 of 120

Question ID: 1207275

In formulating her report on GammaCorp's common stock, Barb Kramer, CFA, did a complex series of statistical tests on the company's past sales and earnings. Based on this statistical study, Kramer stated in her report that, "GammaCorp's earnings growth for the next five years will average 15% per year." Her conclusion was based in part on a regression analysis with a high level of statistical significance. Has Kramer violated the Standard on communication with clients and prospective clients?

- A) Yes, because she didn't give complete details of the statistical model used.
 - B) Yes, because she failed to indicate that 15% growth is an estimate.
 - C) No, because her projections are within the generally accepted bounds of statistical accuracy.
-

Question #10 of 120

Question ID: 1207268

Alpha Advisors, Inc., is an investment management firm with a client base that ranges from individuals to large foundations. Which of the following firm policies is *least appropriate* if Alpha adopts the Code and Standards? Alpha:

- A) monitors the personal trading activity of firm personnel and requires them to pre-clear personal trades.
 - B) regularly calls larger accounts first after changes in investment recommendations have been faxed to all clients.
 - C) excludes client accounts of family members of employees from participating in IPOs.
-

Question #11 of 120

Question ID: 1207269

Dudley Thompson is a bond salesman for a small broker/dealer in London. His firm is the lead underwriter on a new junk bond issue for Ibex Corporation, and Thompson has sent details of the offering to clients. Thompson calls only his accounts over £1,000,000 for whom he thinks the issue is suitable. Thompson also posts his firm's optimistic projections for Ibex's performance in several Internet chat rooms. According to the Standards concerning market manipulation and fair dealing, Thompson is in violation of:

- A) both of these Standards.
- B) neither of these Standards.

- C) only one of these Standards.
-

Question #12 of 120

Question ID: 1207276

Rob Elliott, CFA, is an analyst with a large asset management firm. His personal portfolio includes a large amount of common stock of Tech Inc., a semiconductor company, which his firm does not currently follow. The director of the research department has asked Elliott to analyze Tech and write a report about its investment potential. Based on the CFA Institute Standards of Professional Conduct, the *most appropriate* course of action for Elliot is to:

- A) decline to write the report.
 - B) sell his shares of Tech before completing the report.
 - C) disclose the ownership of the stock to his employer and in the report, if he writes it.
-

Question #13 of 120

Question ID: 1212077

Antonio Mendoza, CFA, an investment manager operating as AM Investments, solicits new business by making brief presentations at which he makes available a single-page information sheet that summarizes his performance history for the past 10 years. On the sheet, Mendoza has his phone number for those who would like more information along with the statement, "AM Investments has prepared and presented this report in compliance with the Global Investment Performance Standards (GIPS®)." Does Mendoza's brief presentation and information sheet violate GIPS?

- A) No.
 - B) Yes, because the information sheet is inadequate.
 - C) Yes, because the statement claims GIPS compliance for a single report.
-

Question #14 of 120

Question ID: 1207270

Anne Franklin, CFA, who covers technology stocks, joins a conference call for analysts presented by Cynthia Lucas, chief technology officer for LevelTech. Lucas tells the analysts that overseas shipments of the company's important new product are going to be delayed due to manufacturing defects, which is new information to the analysts. After the meeting Franklin changes her rating on LevelTech from "buy" to "hold" and sends a note to accounts recommending the sale of LevelTech. Franklin:

- A) did not violate the Standards.
 - B) violated the Standard on nonpublic information by revising her rating on LevelTech.
 - C) violated the Standard on fair dealing by rating the stock a "hold" but recommending sale of the shares to her accounts.
-

Question #15 of 120

Question ID: 1207273

According to the recommended procedures for complying with the Standard on suitability, which of the following statements regarding an investment policy statement (IPS) is *least accurate*?

- A) An IPS should describe the roles and responsibilities of both the adviser and the client.
 - B) A member or candidate is not responsible for financial information withheld by the client.
 - C) A client's IPS must be updated at least quarterly to reflect any changes in their investment profile.
-

Question #16 of 120

Question ID: 1207274

Sue Johnson, CFA, has an elderly client with a very large asset base. The client intends to start divesting her fortune to various charities. Johnson is on the Board of a local charitable foundation. Johnson *most* appropriately:

- A) must not discuss anything regarding her client and her client's intentions with the charitable foundation without permission.
 - B) can discuss her client's situation with the charitable foundation as long as she informs other local charities of her client's intentions.
 - C) can make this known to the charitable foundation so that they can solicit the client, since it is the client's wish to divest assets to charities in the future.
-

Question #17 of 120

Question ID: 1207271

According to the Standard related to loyalty, prudence, and care, which of the following statements regarding the voting of proxies on client holdings is *least accurate*?

- A) Proxies have economic value to a client.
 - B) An investment management firm should vote all proxies on client holdings unless the client reserves that right.
 - C) Members and candidates should explicitly disclose the firm's proxy voting policies to clients.
-

Question #18 of 120

Question ID: 1207277

Alvin Gold, CFA, resides in Country T and does business as an investment advisor primarily in Country U. Country T allows trading on non-public information and does not require disclosure of referral fees. Country U prohibits trading on non-public information only if it is gained by illegal means and requires disclosure of referral fees of over \$100 (U.S. equivalent). Gold accepts a referral fee of \$75, and in the course of a meeting with two other analysts and the firm's CFO, Gold receives material non-public information. To comply with the Code and Standards, Gold:

- A) need not disclose the referral fee but cannot trade on the non-public information.
- B) must disclose the referral fee and cannot trade on the non-public information.
- C) must disclose the referral fee but may trade on the non-public information.

Question #19 of 120

Question ID: 1207281

Questions 19 through 30 relate to Quantitative Methods. (18 minutes)

An investor places \$5,000 in an account. The stated annual interest rate is 6% compounded monthly. The value of the account at the end of three years is *closest* to:

- A) \$5,970.
 - B) \$5,978.
 - C) \$5,983.
-

Question #20 of 120

Question ID: 1207289

Compared to a t -distribution with 10 degrees of freedom, and compared to a normal distribution, a t -distribution with 20 degrees of freedom and the same variance has:

Compared to df = 10Compared to normal

- | | |
|------------------|---------------|
| A) thinner tails | fatter tails |
| B) fatter tails | thinner tails |
| C) fatter tails | fatter tails |
-

Question #21 of 120

Question ID: 1207282

The initial market value of a portfolio was \$100,000. One year later the portfolio was valued at \$90,000 and two years later at \$99,000. The geometric mean annual return excluding any dividend income is *closest* to:

- A) -0.5%.
 - B) -0.4%.
 - C) 0.0%.
-

Question #22 of 120

Question ID: 1207284

The probability that an acquisition has been executed well is 48%. If it is executed well, the probability of EPS greater than \$3.20 is 55%. If the acquisition has not been executed well, the probability of EPS less than or equal to \$3.20 is 65%. The unconditional probability of EPS greater than \$3.20 is *closest* to:

- A) 45%.
- B) 48%.
- C) 55%

Question #23 of 120

Question ID: 1207287

The "up-move factor" in a binomial tree is *best* described as:

- A) the probability that the variable increases in any period.
- B) one minus the "down-move factor" for the binomial tree.
- C) one plus the percentage change in the variable when it increases.

Question #24 of 120

Question ID: 1207288

An analyst is asked to select a sample of securities from those included in a broad-based index that can be expected to have the same return as the index while preserving the key risk exposures of the index. The analyst should *most appropriately* use:

- A) simple random sampling.
- B) stratified random sampling.
- C) constrained random sampling.

Question #25 of 120

Question ID: 1207283

An analyst develops the following probability distribution for the states of the economy and market returns.

Unconditional Probability P(A)		Conditional Probability P(B A)	
Good economy	60%	Bull market	50%
		Normal market	30%
		Bear market	20%
Poor economy	40%	Bull market	20%
		Normal market	30%
		Bear market	50%

Which of the following statements about this probability distribution is *least accurate*?

- A) The unconditional probability of a normal market is 0.30.
- B) The joint probability of having a good economy and a bear market is 0.20.
- C) Given that the economy is poor, the probability of a normal or a bull market is 0.50.

Question #26 of 120

Question ID: 1207285

An analyst estimates a stock has a 40% probability of earning a 10% return, a 40% probability of earning a 12.5% return, and a 20% probability of earning a 30% return. The stock's standard deviation of returns based on this returns model is *closest* to:

- A) 3.74%.
 - B) 5.75%.
 - C) 7.58%.
-

Question #27 of 120

Question ID: 1207286

An investment manager has a pool of five security analysts he can choose from to cover three different industries. In how many different ways can the manager assign one analyst to each industry?

- A) 10.
 - B) 60.
 - C) 125.
-

Question #28 of 120

Question ID: 1207358

Shortfall risk is *best* described as the probability:

- A) of a credit rating downgrade due to possible earnings shortfalls.
 - B) of failing to make a contractually promised payment.
 - C) that portfolio value will fall below some minimum level at a future date.
-

Question #29 of 120

Question ID: 1207290

If a two-tailed hypothesis test has a 5% probability of rejecting the null hypothesis when the null is true, it is *most likely* that:

- A) the power of the test is 95%.
 - B) the confidence level of the test is 95%.
 - C) the probability of a Type I error is 2.5%.
-

Question #30 of 120

Question ID: 1207291

Which of the following statements about hypothesis testing is *most accurate*?

- A) Rejecting a true null hypothesis is a Type I error.
- B) The power of a test is the probability of failing to reject the null hypothesis when it is false.
- C) For a one-tailed test involving X , the null hypothesis would be $H_0: X = 0$, and the alternative hypothesis would be $H_A: X \neq 0$.

Question #31 of 120

Question ID: 1207296

Questions 31 through 42 relate to Economics. (18 minutes)

A business cycle theory developed by applying utility theory and budget constraints to macroeconomic models is *most closely* associated with which school of economic thought?

- A) Austrian.
- B) New Classical.
- C) New Keynesian.

Question #32 of 120

Question ID: 1207299

A central bank is said to have credibility if:

- A) it issues inflation reports monthly.
- B) economic actors base decisions on the central bank's stated inflation targets.
- C) it determines both the policy rate and the method for computing the inflation rate.

Question #33 of 120

Question ID: 1207303

Consider the following foreign exchange and interest rate information:

- Spot rate: 1.3382 USD/EUR.
- One year riskless USD rate = 2.5%.
- One year riskless EUR rate = 3.5%.

The one-year arbitrage-free forward exchange rate is *closest* to:

- A) 1.2391 USD/EUR.
- B) 1.3253 USD/EUR.
- C) 1.3513 USD/EUR.

Question #34 of 120

Question ID: 1207302

Other things equal, a country is *most likely* to have a current account deficit if it also has:

- A) a low savings rate.
- B) a government budget surplus.
- C) a low rate of domestic investment.

Question #35 of 120

Question ID: 1207293

Which of the following statements about monopolists is *most accurate*?

- A) Monopolists have imperfect information about the demand curve for their product.
 - B) Without government intervention, monopolists will always earn economic profits.
 - C) A monopolist maximizes total revenue where marginal revenue equals marginal cost.
-

Question #36 of 120

Question ID: 1207300

A central bank's ability to achieve its policy goals is *most likely* to be limited by available resources when which of the following actual rates is above its target rate?

- A) Interest rate.
 - B) Inflation rate.
 - C) Exchange rate.
-

Question #37 of 120

Question ID: 1207297

Which of the following statements regarding the money supply and determination of short-term interest rates is *least accurate*?

- A) On balance, growth in real GDP tends to increase the transactional demand for money.
 - B) If the short-term interest rate is greater than the equilibrium rate, there will be excess supply of real money balances.
 - C) An increase in the real money supply from an initial equilibrium situation will cause households and businesses to sell interest-bearing securities.
-

Question #38 of 120

Question ID: 1207295

What are the *most likely* effects on aggregate demand in the current period of an increase in expected future incomes and of an increase in the money supply?

- A) Both increase aggregate demand.
 - B) Both decrease aggregate demand.
 - C) One increases aggregate demand and one decreases aggregate demand.
-

Question #39 of 120

Question ID: 1207298

Incorrect production decisions are *most likely* to occur when the inflation rate is:

- A) lower than expected only.
 - B) higher than expected only.
 - C) either higher or lower than expected.
-

Question #40 of 120

Question ID: 1207301

The source of comparative advantage, according to the Heckscher- Ohlin model of international trade, is each country's:

- A) labor productivity.
 - B) available natural resources.
 - C) relative amounts of labor and capital.
-

Question #41 of 120

Question ID: 1207294

Under which market structure is the profit maximizing strategy to produce the quantity of output for which the price is equal to marginal cost?

- A) Monopoly.
 - B) Perfect competition.
 - C) Monopolistic competition.
-

Question #42 of 120

Question ID: 1207292

Which of the following statements about elasticity is *least accurate*?

- A) Both demand and supply are more elastic in the long run than in the short run.
 - B) When demand is inelastic, an increase in price will cause a decrease in the total expenditure on a good.
 - C) When the price of a product increases, consumers will reduce their consumption by a larger amount in the long run than in the short run.
-

Question #43 of 120

Question ID: 1207307

Questions 43 through 60 relate to Financial Reporting and Analysis. (27 minutes)

A U.S. GAAP reporting company invests \$50 million in a bond portfolio yielding 4% with an average maturity of seven years. After one year, interest rates have fallen by 50 basis points. The company will report the highest retained earnings if the securities in the portfolio are classified as:

- A) held-to-maturity.
- B) available-for-sale.
- C) trading securities.

Question #44 of 120

Question ID: 1207309

Kimberwick Technologies reported the following information for the year ending December 31.

Data	
Net sales	50,000
Cash expenses	3,250
Cash inputs	17,000
Cash taxes	7,000
Increase in receivables	500
Depreciation expense	1,000
Cash flow from investing	-5,000
Cash flow from financing	-4,250

If the cash balance increased \$13,000 over the year, cash flow from operations (CFO) is *closest* to:

- A) \$21,250.
- B) \$21,750.
- C) \$22,250.

Question #45 of 120

Question ID: 1207312

A company has a cash conversion cycle of 80 days. If the company's average receivables turnover increases from 11 to 12, the company's cash conversion cycle:

- A) decreases by approximately 3 days.
- B) increases by approximately 3 days.
- C) decreases by approximately 1 day.

Question #46 of 120

Question ID: 1207304

Which of the following statements about a United States public corporation's annual reports, SEC filings, and press releases is *most accurate*?

- A) Annual and quarterly SEC filings must be audited.

- B) Interim SEC filings typically update the major financial statements and footnotes.
 - C) Annual reports to shareholders are typically the most factual and objective source of information about a company.
-

Question #47 of 120

Question ID: 1207320

Which of the following is *most likely* a motivation for a company's management to issue low-quality financial reports?

- A) Management has provided optimistic earnings guidance.
 - B) Oversight provided by the board of directors is weak or inadequate.
 - C) Accounting principles permit a wide range of acceptable treatments and estimates.
-

Question #48 of 120

Question ID: 1207314

Haltata Turf & Sod currently uses the first in, first out (FIFO) method to account for inventory. Due to significant tax-loss carryforwards, the company has an effective tax rate of zero. Prices are rising and inventory quantities are stable. If the company were to use last in, first out (LIFO) instead of FIFO:

- A) net income would be lower and cash flow would be higher.
 - B) cash flow would remain the same and working capital would be lower.
 - C) gross margin would be higher and stockholder's equity would be lower.
-

Question #49 of 120

Question ID: 1207321

Which of the following effects is *most likely* to occur when using ratio screens for high dividend yield stocks and low P/E stocks, respectively?

<u>High dividend yield</u>	<u>Low P/E ratios</u>
A) Include too many financial services firms	Exclude too many growth firms
B) Exclude too many financial services firms	Include too many growth firms
C) Include too many financial services firms	Include too many growth firms

Question #50 of 120

Question ID: 1207305

The five steps required for a company to record revenue on a long-term contract are *least likely* to include:

- A) identifying a customer contract.

- B) receiving proportional payments.
 - C) identifying separate performance obligations in the contract.
-

Question #51 of 120

Question ID: 1207308

A company's investments in marketable securities include a 3-year tax-exempt bond measured at amortized cost and a 5-year government bond measured at fair value through other comprehensive income. On its income statement, the company should report the coupon interest received from:

- A) both of these securities.
 - B) neither of these securities.
 - C) only one of these securities.
-

Question #52 of 120

Question ID: 1207315

Acme Corp. purchased a new stamping machine for \$100,000, paid \$10,000 for shipping, and paid \$5,000 to have it installed in their plant. Based on an estimated salvage value of \$25,000 and an economic life of six years, the difference between straight-line depreciation and double-declining balance depreciation in the second year of the asset's life is *closest* to:

- A) \$7,220.
 - B) \$10,556.
 - C) \$16,666.
-

Question #53 of 120

Question ID: 1207310

How will a firm's operating cash flow be affected by a decrease in accounts receivable and by an increase in accounts payable?

- A) Both will increase operating cash flow.
 - B) Both will decrease operating cash flow.
 - C) One will increase operating cash flow and one will decrease operating cash flow.
-

Question #54 of 120

Question ID: 1207313

From the point of view of a financial analyst, when evaluating companies that use different inventory cost assumptions, in a period of:

- A) stable prices, LIFO inventory is preferred to FIFO inventory.
 - B) decreasing prices, FIFO inventory is preferred to LIFO inventory.
 - C) increasing prices, FIFO cost of sales is preferred to LIFO cost of sales.
-

Question #55 of 120

Question ID: 1207319

An IFRS reporting company and a U.S. GAAP reporting company have entered into identical leases of significant value, as the lessees. Compared to the impact of reporting the lease under IFRS, reporting the lease under U.S. GAAP as an operating lease will:

- A) add less assets to their balance sheet.
 - B) decrease operating cash flows by a greater amount.
 - C) decrease financing cash flows by a greater amount.
-

Question #56 of 120

Question ID: 1207316

Longboat, Inc., sold a luxury passenger boat from its inventory on December 31 for \$2,000,000. It is estimated that Longboat will incur \$100,000 in warranty expenses during its 5-year warranty period. Longboat's tax rate is 30%. To account for the tax implications of the warranty obligation prior to incurring warranty expenses, Longboat should:

- A) record a deferred tax asset of \$30,000.
 - B) record a deferred tax liability of \$30,000.
 - C) make no entry until actual warranty expenses are incurred.
-

Question #57 of 120

Question ID: 1207306

During 20X3, Rory, Inc., reported net income of \$15,000 and had 2,000 shares of common stock outstanding for the entire year. Rory also had 2,000 shares of 10%, \$50 par value preferred stock outstanding during 20X3. During 20X1, Rory issued 100, \$1,000 par, 6% bonds for \$100,000. Each of the bonds is convertible to 50 shares of common stock. Rory's tax rate is 40%. Assuming these bonds are dilutive, 20X3 diluted EPS for Rory is *closest* to:

- A) \$0.71.
 - B) \$1.23.
 - C) \$2.50.
-

Question #58 of 120

Question ID: 1207318

A firm issues a 4-year semiannual-pay bond with a face value of \$10 million and a coupon rate of 10%. The market interest rate is 11% when the bond is issued. The balance sheet liability at the end of the first semiannual period is *closest* to:

- A) \$9,650,700.
 - B) \$9,683,250.
 - C) \$9,715,850.
-

Question #59 of 120

Question ID: 1207311

The presentation format of balance sheet data that standardizes the first-year values to 1.0 and presents subsequent years' amounts relative to 1.0 is:

- A) an indexed balance sheet.
 - B) a vertical common-size balance sheet.
 - C) a horizontal common-size balance sheet.
-

Question #60 of 120

Question ID: 1207317

For 20X1, Belcher Motors reported a decrease in its deferred tax liabilities, a decrease in its deferred tax assets, and an increase in its valuation allowance. To an analyst, this would *most likely* suggest that the company has:

- A) decreased its estimate of future profitability.
 - B) increased the estimated useful life of some capitalized assets.
 - C) increased its estimate of the period over which unearned revenue will be recognized.
-

Question #61 of 120

Question ID: 1207332

Questions 61 through 72 relate to Corporate Finance. (18 minutes)

At the beginning of the year, Breidel Company changes its inventory accounting method (for both financial and tax reporting) from first in first out to average cost. Assuming an environment of increasing prices, how will this accounting change affect Breidel's forecasts of its net cash position?

- A) No effect because this accounting change does not affect cash flows.
 - B) Less net cash in both the short-term forecast and the long-term forecast.
 - C) No effect on the short-term forecast but greater net cash in the long-term forecast.
-

Question #62 of 120

Question ID: 1207325

Which of the following statements is *most accurate* regarding the net present value (NPV) and internal rate of return (IRR) capital budgeting methods?

- A) NPV assumes that cash flows can be reinvested at the project's IRR.
 - B) IRR assumes the cash flows are reinvested at the project's cost of capital.
 - C) NPV assumes the cash flows can be reinvested at the project's cost of capital.
-

Question #63 of 120

Question ID: 1207328

When using the CAPM to estimate the cost of common equity for a company in a developing country, an analyst should *most* appropriately:

- A) add a country risk premium to the market risk premium.
 - B) add the sovereign yield spread to the CAPM cost of common equity.
 - C) make no adjustments because country risk is reflected in the equity's beta.
-

Question #64 of 120

Question ID: 1207333

The type of short-term financing for which the financing cost is *most closely* tied to the creditworthiness of a firm's customers is:

- A) factoring.
 - B) issuing commercial paper.
 - C) an uncommitted line of credit.
-

Question #65 of 120

Question ID: 1207330

Smith Company's earnings per share are more sensitive to changes in operating income than are those of Jones Company. This implies that Smith Company has a higher degree of:

- A) total leverage.
 - B) financial leverage.
 - C) operating leverage.
-

Question #66 of 120

Question ID: 1207329

If flotation costs are treated correctly in calculating the net present value of a project that will begin in the current period, the flotation costs are *most likely*:

- A) included in the initial outlay.
 - B) reflected in the discount rate used for the project.
 - C) included in the cost of the capital raised.
-

Question #67 of 120

Question ID: 1207326

Thompson Products has seen its marginal tax rate increase from 28% to 34% over the last two years and believes the change is permanent. The effects of this change on Thompson's current WACC and on its financial leverage over time are *most likely*:

- A) an increase in both.
- B) a decrease in both.

C) an increase in one and a decrease in the other.

Question #68 of 120

Question ID: 1207323

Which of the following investments is *least likely* to be evaluated using traditional capital budgeting analysis? Investing:

- A) \$100 million for the research and development of new paint products.
 - B) \$200 million in equipment to reduce carbon output rather than pay daily fines.
 - C) \$75 million to expand production and sales into a neighboring country.
-

Question #69 of 120

Question ID: 1207331

Daley Company sells its output for \$15 per unit. Daley's variable costs, including taxes, are \$10 per unit and its breakeven quantity of sales is 30,000 units. Daley's annual fixed costs are \$50,000 for interest and \$100,000 for rent. If Daley sells 35,000 units in a year, its net income will be:

- A) \$15,000.
 - B) \$25,000.
 - C) \$35,000.
-

Question #70 of 120

Question ID: 1207322

Reviewing the performance and independence of board members is a responsibility of:

- A) the audit committee.
 - B) the nominations committee.
 - C) the compensation committee.
-

Question #71 of 120

Question ID: 1207327

A company's pretax cost of fixed-rate debt capital equals the company's new debt:

- A) coupon rate.
 - B) current yield.
 - C) yield to maturity.
-

Question #72 of 120

Question ID: 1207324

A company is evaluating the following capital projects for investment over the next two years:

- Two new machines with costs of \$4 million each.
- Computer software upgrade with a cost of \$1 million.
- Multi-year replacement of two aging machines involving an investment of \$4.5 million for the first machine and another \$4.5 million for the second machine if projected savings from the first machine are realized.

All of these projects have positive net present values and the available budget is \$10 million. The company should accept:

- A)** all of these projects.
 - B)** those projects with the highest expected rates of return over the 2-year capital budgeting period.
 - C)** those projects with the highest present value of expected future cash flows relative to required investment.
-

Question #73 of 120

Question ID: 1207342

Questions 73 through 85 relate to Equity Investments. (19.5 minutes)

An analyst determines that a company has a return on equity of 16% and pays 40% of its earnings in dividends. If the firm recently paid a \$1.50 dividend and the stock is selling for \$40, what is the required rate of return on the stock if it is priced according to the dividend discount model?

- A)** 9.6%.
 - B)** 10.2%.
 - C)** 13.7%.
-

Question #74 of 120

Question ID: 1207334

An investor buys a stock for \$50. The initial margin requirement is 50%, and the maintenance margin requirement is 25%. The price below which the investor would receive a margin call would be:

- A)** \$25.00.
 - B)** \$33.33.
 - C)** \$37.50.
-

Question #75 of 120

Question ID: 1207335

A securities market exhibits operational efficiency if it offers:

- A)** low transaction costs.
- B)** prices that respond rapidly to new information.
- C)** rates of return that are proportional to risk on average.

Question #76 of 120

Question ID: 1207337

A stock index consists of two stocks. As of January 1:

- Company A has 50 shares outstanding valued at \$2 each.
- Company B has 10 shares outstanding valued at \$10 each.
- The price-weighted index is 6, and the value-weighted index is 100.

On June 30, the price of Company A's stock has increased to \$4 per share. Effective the morning of July 1, Company B's stock splits two- for-one and is priced at \$5. The opening values of the price-weighted index and the value-weighted index on July 1 are:

	<u>Price-weighted</u>	<u>Value-weighted</u>
A) 7		150
B) 7		125
C) 4.5		150

Question #77 of 120

Question ID: 1207344

Pam Robers, CFA, is performing a valuation analysis on the common stock of Allstare Inc. The stock's beta is 1.1, the risk-free rate is 5%, and the market risk premium is expected to be 8%. Allstare's ROE is expected to be constant at 18%, and its dividend payout ratio has been fairly constant over time at 40%. The forward-earnings multiplier that Robers should use to estimate the current value of the shares is *closest* to:

- A) 7.
- B) 13.
- C) 20.

Question #78 of 120

Question ID: 1207343

Pat McCoy, CFA, is analyzing a technology firm that has experienced annual earnings growth of 12%. McCoy does not expect the firm to begin paying dividends on its common shares in the foreseeable future. To estimate the value of this firm's common shares, McCoy should *most appropriately* use:

- A) a two-stage DDM.
- B) a free cash flow model.
- C) a Gordon growth model.

Question #79 of 120

Question ID: 1207341

Over the past few years, the companies in an industry have experienced positive but decreasing profitability and growth rates. The companies have begun to compete intensely with each other and customers switch frequently among brands. This industry's life-cycle stage is *most accurately* described as:

- A) growth.
 - B) maturity.
 - C) shakeout.
-

Question #80 of 120

Question ID: 1207345

An analyst gathered the following data about a company:

- The historical earnings retention rate of 40% is projected to continue into the future.
- The sustainable ROE is 12%.
- The stock's beta is 1.2.
- The nominal risk-free rate is 6%.
- The expected market return is 11%.

If the analyst believes next year's earnings will be \$4 per share, what value should be placed on this stock?

- A) \$22.24.
 - B) \$33.32.
 - C) \$45.45.
-

Question #81 of 120

Question ID: 1207340

Which of the following classifications of firms is *least likely* to comprise cyclical firms?

- A) Housing.
 - B) Technology.
 - C) Telecommunications.
-

Question #82 of 120

Question ID: 1207338

The assertion that investors, analysts, and portfolio managers exhibit psychological tendencies that cause them to make systematic errors is *most* consistent with:

- A) behavioral finance.
 - B) weak-form market efficiency.
 - C) fundamental analysis.
-

Question #83 of 120

Question ID: 1207336

An investor purchases 1,000 shares of each of the stocks in a price-weighted index at their closing prices (ignore transactions costs). On a total return basis, if the index stocks remain the same, this portfolio will *most likely*:

- A) perform exactly like the index over time.
 - B) outperform the index over time.
 - C) underperform the index over time.
-

Question #84 of 120

Question ID: 1207346

Among valuation models, the difficulty of estimating a required rate of return is *most likely* to be a disadvantage of using:

- A) a Gordon growth model.
 - B) an asset-based valuation model.
 - C) an enterprise value multiplier model.
-

Question #85 of 120

Question ID: 1207339

An investor owns preference shares which stipulate that any dividend for the current period, as well as all past dividends, must be fully paid before a common stock dividend may be paid. This security is *best* described as:

- A) full-pay preferred.
 - B) restricted preferred.
 - C) cumulative preferred.
-

Question #86 of 120

Question ID: 1207348

Questions 86 through 99 relate to Fixed Income. (21 minutes)

A 7.5% coupon, semiannual-pay, five-year bond has a yield to maturity of 6.80%. Over the next year, if the bond's yield to maturity remains unchanged, its price will:

- A) increase.
 - B) decrease.
 - C) remain unchanged.
-

Question #87 of 120

Question ID: 1207359

The type of credit risk that is most directly reflected in a bond's rating is:

- A) default risk.
 - B) downgrade risk.
 - C) credit spread risk.
-

Question #88 of 120

Question ID: 1207365

What effects will an increase in yield volatility have on the values of a putable bond and a callable bond?

- A) Both bonds will increase in value.
 - B) Both bonds will decrease in value.
 - C) One bond will increase in value and the other will decrease.
-

Question #89 of 120

Question ID: 1207347

Which of the following statements about debt securities is *least accurate*?

- A) Commercial paper is a short-term vehicle for corporate borrowing.
 - B) A securitized bond is a security whose cash flows are linked to a pool of underlying loans or financial instruments.
 - C) A medium-term note (MTN) is a corporate bond with an original maturity of 2 to 10 years.
-

Question #90 of 120

Question ID: 1207356

Portfolio duration *most accurately* approximates the sensitivity of the value of a bond portfolio to:

- A) parallel shifts in the yield curve.
 - B) increases in the slope of the yield curve.
 - C) decreases in the slope of the yield curve.
-

Question #91 of 120

Question ID: 1207360

A firm is said to have a top-heavy capital structure if a high percentage of its total capital is:

- A) debt.
 - B) short-term debt.
 - C) secured bank debt.
-

Question #92 of 120

Question ID: 1207355

An 8%, semiannual pay, option-free corporate bond that is selling at par has ten years to maturity. What is the approximate modified duration of the bond based on a 75 basis point change (up or down) in rates?

- A) 5.6.
 - B) 6.8.
 - C) 7.2.
-

Question #93 of 120

Question ID: 1207350

The current 4-year spot rate is 4% and the current 5-year spot rate is 5.5%. What is the 1-year forward rate in four years?

- A) 9.58%.
 - B) 10.14%.
 - C) 11.72%.
-

Question #94 of 120

Question ID: 1207351

A bond with nine years to maturity is quoted at an interpolated spread of +150 basis points. The benchmark yield for this bond is:

- A) a swap rate.
 - B) a matrix rate.
 - C) a government bond yield.
-

Question #95 of 120

Question ID: 1207352

Compared to a recourse mortgage loan, a nonrecourse mortgage loan:

- A) is likely to have a higher interest rate.
 - B) is less likely to be purchased by a government agency.
 - C) is issued with less strict standards for a borrower's credit history.
-

Question #96 of 120

Question ID: 1207353

A 10-year note issued by Gaullic Finance will be paid from a bankruptcy-remote pool of Gaullic's balance sheet assets. These notes are *best* described as:

- A) covered bonds.
- B) securitized bonds.

C) asset-backed bonds.

Question #97 of 120

Question ID: 1207354

Extension in an agency residential mortgage-backed security is *most likely* to result from:

- A) a decrease in interest rates.
 - B) exhaustion of a support tranche.
 - C) slower-than-expected prepayments.
-

Question #98 of 120

Question ID: 1207349

A hedge fund manager is estimating a value for a non-traded bond of Yoder Company. The bond has an annual-pay 6% coupon, matures in six years, and has a CCC credit rating. Actively traded annual-pay bonds with similar credit ratings include the following:

Coupon	Maturity	Yield to maturity
8%	5 years	9.45%
5%	5 years	9.55%
7%	10 years	10.00%

Based on matrix pricing, the value of the Yoder bond as a percentage of par is *closest* to:

- A) 83.9.
 - B) 84.1.
 - C) 84.5.
-

Question #99 of 120

Question ID: 1207357

Consider two option-free, 5% annual-pay bonds from the same issuer and with the same seniority. One of the bonds has a modified duration of 3.5 and approximate convexity of 15. The other has a modified duration of 8.5 and approximate convexity of 75. Can the lower- duration bond have more price volatility than the higher-duration bond?

- A) No, because it also exhibits lower convexity.
 - B) Yes, because shifts in the yield curve may be non-parallel.
 - C) No, because its price will respond relatively less in response to changes in yield.
-

Question #100 of 120

Question ID: 1207368

Questions 100 through 106 relate to Derivatives. (10.5 minutes)

When the underlying asset does not pay any cash flows, the value of an American call option is:

- A) equal to the value of an otherwise identical European call option.
 - B) less than the value of an otherwise identical European call option.
 - C) greater than the value of an otherwise identical European call option.
-

Question #101 of 120

Question ID: 1207366

The value of a put option on a stock trading at 35 will decrease when:

- A) the risk-free rate is higher.
 - B) the volatility of the stock price is higher.
 - C) the dividends paid on the stock are higher.
-

Question #102 of 120

Question ID: 1207364

During the life of a European option, the amount by which its price is greater than its exercise value is *most accurately* described as its:

- A) time value.
 - B) moneyness.
 - C) intrinsic value.
-

Question #103 of 120

Question ID: 1207362

Which of the following statements about plain vanilla interest rate swaps is *most accurate*? The swap counterparties:

- A) typically make a margin deposit with a clearinghouse.
 - B) exchange fixed rate payments for variable rate payments.
 - C) exchange the notional principal at initiation and termination.
-

Question #104 of 120

Question ID: 1207363

The convenience yield associated with holding the underlying asset of a derivative is *most accurately* described as:

- A) the nonmonetary benefits of holding the asset.
 - B) the monetary and nonmonetary benefits of holding the asset.
 - C) the monetary and nonmonetary benefits of holding the asset, net of its holding costs.
-

Question #105 of 120

Question ID: 1207361

Which of the following statements about futures margin is *least accurate*?

- A) The initial margin is set by the clearinghouse based on the volatility of the price of the underlying asset.
 - B) If the balance of the margin account exceeds the initial margin requirement, the trader can remove the excess funds from the account.
 - C) If the margin account balance falls below the maintenance margin level, the account balance must be brought back up to the maintenance level.
-

Question #106 of 120

Question ID: 1207367

Which of the following portfolios has the same future cash flows as a put option?

- A) Long call option, long risk-free bond, short underlying asset.
 - B) Long call option, short risk-free bond, long underlying asset.
 - C) Short call option, long risk-free bond, long underlying asset.
-

Question #107 of 120

Question ID: 1207372

Questions 107 through 113 relate to Alternative Investments. (10.5 minutes)

If the availability of a physical commodity over the period of a futures contract has value to users of the commodity, the commodity is said to provide:

- A) storage yield.
 - B) collateral yield.
 - C) convenience yield.
-

Question #108 of 120

Question ID: 1207370

Josh Lacy, CFA, is analyzing a portfolio company held by his private equity firm to estimate its value in liquidation. Lacy should *most appropriately* use:

- A) an asset-based approach.
 - B) a comparables-based approach.
 - C) a discounted cash flow-based approach.
-

Question #109 of 120

Question ID: 1207373

Which of the following statements with respect to hedge fund investing is *least accurate*?

- A) Hedge funds only publicly disclose performance information on a voluntary basis.
 - B) Hedge funds are not typically registered with the SEC in the United States.
 - C) Survivorship bias in hedge fund data causes risk to be overstated because funds that take on more risk tend to have higher returns.
-

Question #110 of 120

Question ID: 1207374

An investor who wants to hedge against inflation by allocating a portion of a portfolio to alternative investments should *most appropriately* invest in:

- A) real estate and commodities.
 - B) private equity and real estate.
 - C) commodities and private equity.
-

Question #111 of 120

Question ID: 1207369

A leveraged buyout firm that carries out a secondary sale has:

- A) offered additional shares to the public.
 - B) exited an investment in a portfolio company.
 - C) received new capital from its general or limited partners.
-

Question #112 of 120

Question ID: 1207375

The notice period for a hedge fund is *best* described as the period following:

- A) the opening of the fund to investors, before the fund is closed to new investors.
 - B) a request for redemption of shares, within which the fund must fulfill the request.
 - C) an investment in the fund, during which the investor is not permitted to redeem shares.
-

Question #113 of 120

Question ID: 1207371

Returns calculated from which type of real estate index are *most likely* to have the lowest standard deviation?

- A) REIT index.
- B) Appraisal index.
- C) Repeat sales index.

Question #114 of 120

Question ID: 1207382

Questions 114 through 120 relate to Portfolio Management. (10.5 minutes)

A financial firm employs machine learning to model its risk exposures. The machine identifies a number of risk relationships in the input data, but the firm's management believes some of these relationships are spurious. If so, it is *most likely* that the model:

- A) exhibits overfitting.
 - B) treats true parameters as noise.
 - C) is not complex enough to describe the data.
-

Question #115 of 120

Question ID: 1207376

On average, which of the following types of investors has the shortest investment horizon?

- A) Endowment fund.
 - B) Defined benefit plan.
 - C) Property and casualty insurer.
-

Question #116 of 120

Question ID: 1207378

A portfolio is invested 30% in Asset A with the remainder invested in Asset B. Asset A has an expected return of 6% and variance of returns of 0.031, while Asset B has an expected return of 7% and variance of returns of 0.045. The covariance between the returns of the two assets is 0.03735. The standard deviation of returns for the portfolio is *closest* to:

- A) 18%.
 - B) 20%.
 - C) 22%.
-

Question #117 of 120

Question ID: 1207377

Open-end mutual funds differ from closed-end funds in that:

- A) open-end funds stand ready to redeem their shares, while closed-end funds do not.
 - B) closed-end funds require active management, while open-end funds do not.
 - C) open-end funds issue shares that are then traded in secondary markets, while closed-end funds do not.
-

Question #118 of 120

Question ID: 1207379

According to the CAPM, a rational investor would be *least likely* to choose as his optimal portfolio:

- A) a 100% allocation to the risk-free asset.
 - B) the global minimum variance portfolio.
 - C) a 130% allocation to the market portfolio.
-

Question #119 of 120

Question ID: 1207380

The risk-free rate is 5% and the expected market risk premium is 10%. A portfolio manager is projecting a return of 20% on a portfolio with a beta of 1.5. After adjusting for its systematic risk, this portfolio is expected to:

- A) equal the market's performance.
 - B) outperform the market.
 - C) underperform the market.
-

Question #120 of 120

Question ID: 1207381

A manager states that the objectives of a firm's risk management process should be to:

- Identify the firm's risk tolerance.
- Identify and measure risks faced by the organization.
- Minimize or eliminate these risks.

Which of these objectives is *least appropriate* in a risk management process?

- A) Identifying risk tolerance.
- B) Identifying and measuring risks.
- C) Minimizing or eliminating risks.